# Dairy

Fresh dairy milk is an important ingredient in Hershey's iconic milk chocolate. Dairy production supports tens of thousands of farmers across the U.S. and can play an important role in enhancing soil health with responsible stewardship.

## Our Approach to Responsibly Sourced Dairy

Hershey has long-held codes and policies to support responsible dairy production, including our **Supplier Code of Conduct** and other **relevant policies** on the environment, human rights and **animal welfare**. We also endorse the 11 key sustainability criteria and strategic intents of the global **Dairy Sustainability Framework** (DSF) and expect our dairy suppliers to work with us to deliver on this vision of sustainable dairy.

Without proper stewardship, dairy sourcing can generate significant carbon emissions, lead to polluted water resources and contribute to human rights and animal rights abuses. This is why we are committed to responsible and sustainable dairy sourcing that positively impacts our shared environment and ensures the health and wellbeing of workers and animals.

Our approach to implementing our sustainability commitments in our dairy supply chain focuses on:

1. **Supplier Engagement, Monitoring and Verification through the Sustainable Agriculture Initiative (SAI) Platform Sustainable Dairy Partnership (SDP).** We leverage the SDP to engage with our dairy suppliers to strengthen their sustainability management approach, monitor performance and drive continuous sustainability improvements across our dairy supply chain.
2. **Investment in on-farm programs in our dairy supply chain** to support water stewardship, GHG emissions reduction in line with our science-based targets and other sustainability objectives.

## Our Dairy Supply Chain

Most of the milk that goes into our products is sourced within a 100-mile radius of our chocolate manufacturing plant in Hershey, PA. We also source milk-derived ingredients from suppliers across the U.S. as well as New Zealand, and from suppliers in Brazil, India and Mexico for our operations in those countries.

## Supplier Engagement, Monitoring and Verification through the Sustainable Dairy Partnership

Our involvement in the Sustainable Dairy Partnership (SDP) is foundational to our interactions with dairy suppliers. The SDP is a holistic management system standard and assurance model with third-party data verification and progress reporting. SDP also includes sustainability requirements that must be met by dairy processors and supplying farms. We encourage our dairy suppliers to enroll in, undergo evaluation through and submit progress reports to us via the SDP. We have committed to sourcing 100 percent of our dairy volumes from suppliers enrolled in and assessed through the SDP by 2024. So far, 82 percent of our volumes are sourced from such suppliers. To verify compliance with our sustainability policies in our dairy supply chain and to engage with our suppliers in their journey towards more sustainable dairy production, we will continue to leverage the SAI Platform going forward.

As a member of the SDP Steering Committee, we actively advance the mission of the SDP. Through this initiative, we collaborate with other industry members, jointly tackling collective challenges such as GHG accounting and reporting, animal welfare and regenerative agriculture in the dairy industry. To learn more about our commitment to sustainable sourcing, please see our latest ESG report.

## Climate-Friendly Farms

To help our suppliers accelerate their sustainability efforts and contribute to the achievement of our goals, we are committed to investing with our suppliers in interventions at the field level focused on our priority issues.

We are collaborating with **Land O'Lakes**, our highest-volume dairy supplier and strategic partner, and the **Alliance for the Chesapeake Bay** on a three-year pilot program, **Sustainable Dairy PA**. Now in its second year, this program aims to reduce GHG emissions and protect water quality across dairy farms in our Pennsylvania supply chain. To achieve these goals, Hershey is providing funding to support the implementation of riparian forest buffers and other efforts to enhance sustainability on our supplying farms.

In that past year, we have planted twelve acres of riparian buffer – that's over 3,000 trees — and almost a mile of stream coverage and fencing, among other projects. This will prevent over 700,000 pounds of sediment, 850 pounds of phosphorous and almost 4,000 pounds of nitrogen from entering waterways feeding the Chesapeake Bay annually. These field-level projects are also helping sequester 141 metric tons of $CO_2e$ per year. In addition, in partnership with two other suppliers, we have begun piloting a methane reducing feed additive on some of our supplying farms to further reduce GHG emissions.

Our collaboration on Sustainable Dairy PA and work with our other dairy suppliers can create a more climate resilient supply for the milk that we source.

**Read More About This Collaboration**

### Sustainability Issues

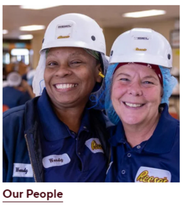
Our actions are informed by the issues that matter to our business and stakeholders. We are focused on the issues where we can make the greatest impact.

### Progress on Priorities

We are working toward several ambitious goals designed to help us create a stronger, more resilient business. We publicly track and report our progress to stay transparent and accountable.

SUSTAINABILITY @ HERSHEY

## Related Topics


Our People


Responsible Sourcing


Human Rights


Youth



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